

Signs of the end of a building boom were legion during this period as well. An amazing 45% of all the office space ever built in the United States, a whopping 2.1 billion square feet of it, went up during the 1980s. (The building in the 1990s to date has undoubtedly brought the percentage built since 1980 to more than half.) By the end of the decade, building activity had widely outstripped demand, and unrented office space as a percentage of the total became high in many cities. Skyscrapers in particular have been constructed at a feverish pace in recent years. As detailed in *The Science of Prediction* by Edward R. Dewey, skyscraper building has ballooned in the final years of every modern real estate boom.

The stock market crash of October 1987 immediately changed the lavish lifestyle of New York City stockbrokers and their leveraged clients. The contraction in these speculators' expenditures caused a reversal in the 40-year long Manhattan property bubble, which had ended in a 12-year binge that saw apartment prices rise tenfold. This change in turn adversely affected the lifestyle of real estate brokers, of whom there were tens of thousands because it had been such a lucrative profession for so long. Though seemingly a geographically isolated situation, *The Elliott Wave Theorist* issued its warning of an imminent top for wave B in February 1989, as follows:

This "B" wave now appears to be in its final months. In the past year, even farm and oil patch areas have enjoyed a moderate recovery, which some people have pronounced "the" turnaround. More than likely, however, that recovery is merely a bounce in a downtrend, such as occurred in the same areas in 1928-1929, as you can see by Figure [20-5]. Some previously strong properties, such as New England condominiums and Southeastern office buildings, have recently slipped in price, although the area of the most intense mania, southern California, sports ever madder activity. The selectivity so common to "B" waves, then, has increased to the point of extreme narrowness, indicating that the end of wave B is nigh. (Ironically, problem areas experience an exodus, resulting in increased demand in other areas, thus keeping the boom selectively alive for a time.) A "C" wave collapse in real estate prices across the board, then, lies in the near future. [Ultimately,] some real estate prices [will fall] 99%.

As you can see by Figure 20-6, stocks of real estate development companies peaked that year and collapsed 50% in value in twelve months, as did stocks of real estate investment trusts (see